

CONFIDENTIAL - INVESTMENT MEMORANDUM

B&M European Value Retail S.A.

Proposed Acquisition of Poundland

Transaction Date: 21 August 2026

Prepared for: Investment Committee

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1. Executive Summary

1.1 Recommendation

Proceed with the acquisition of Poundland at a 15.0% premium to its standalone equity value. The proposed £386.9m equity purchase price implies a £434.3m transaction enterprise value and has £17.4m of value creation in the base case. The transaction makes sense strategically because B&M can leverage its scale, procurement and operating efficiencies to improve Poundland's profitability while expanding its presence across the UK discount retail market.

The investment case is focused on the potential for significant operational improvement at Poundland. The model assumes £61.5m of annual EBITDA synergies by FY30E, including procurement, distribution, head-office, technology and marketing efficiencies as well as revenue synergies from cross-selling, estate optimisation and customer-base opportunities. These benefits are expected to offset the initial costs and earnings dilution due to integration and Poundland's currently weak profitability.

1.2 Transaction Overview

Metric	Base Case
Standalone equity value	£336.4m
Acquisition premium	15.0%
Equity purchase price	£386.9m
Target net debt	£47.5m
Transaction enterprise value	£434.3m
Financing	50% cash / 50% debt
FY30E EBITDA synergies	£61.5m
FY30E EPS accretion	31.0%
FY30E incremental FCF	£78.0m
Cumulative incremental FCF	£167.7m
Value creation	£17.4m
Pro forma ND / EBITDA	1.58x

1.3 Investment Case

Strategic rationale:

The acquisition would increase B&M's UK store network and purchasing scale while helping to optimise Poundland's estate and operating infrastructure. The strongest strategic rationale is B&M's ability to apply its existing scale and operating abilities to a business whose profitability has deteriorated in recent years.

Valuation:

Poundland's selected standalone equity value of £336.4m is derived from a 50% DCF / 50% comparable-company valuation. The proposed 15.0% premium leads to an equity purchase price of £386.9m, which is 8.43x FY26E EBITDA. This is within the range supported by the standalone valuation and expected transaction synergies.

Financial impact:

The transaction is initially EPS dilutive, reflecting Poundland's weak earnings base, acquisition financing costs and integration expenditure. EPS dilution reduces from 12.3% in FY26E to 6.4% in FY27E before the transaction becomes accretive in FY28E. By FY30E, EPS accretion reaches 31.0%, and incremental free cash flow reaches £78.0m annually.

Value creation and risk:

The base case generates £17.4m of value creation, equivalent to 4.5% of the equity purchase price. However, the relatively limited valuation headroom makes price discipline and successful synergy delivery essential. The sensitivity analysis shows that value creation nears zero at approximately a 20% premium, and lower synergy realisation would make the transaction value destructive.

1.4 Recommendation

Proceed at a 15.0% premium, with disciplined pricing and successful execution of the integration plan.

B&M should maintain approximately 20% as the maximum value-creating premium under the base-case synergy assumptions and should not increase its offer beyond this level without identifying additional sources of value. The acquisition offers attractive strategic and financial upside, but the investment case depends on B&M successfully converting its scale and operating capabilities into the forecast synergies and Poundland margin recovery.

2. Transaction Overview

B&M European Value Retail S.A. is assumed to acquire Poundland on **21 August 2026** for an equity purchase price of **£386.9m**, representing a **15.0% premium** to Poundland's selected standalone equity value of £336.4m. Including Poundland's £47.5m of net debt, the transaction implies an enterprise value of **£434.3m**.

2.1 Transaction Structure

Metric	Base Case
Transaction date	21 August 2026
Acquirer	B&M European Value Retail S.A.
Target	Poundland
Transaction type	Acquisition
Standalone equity value	£336.4m
Acquisition premium	15.0%
Equity purchase price	£386.9m
Target net debt	£47.5m
Transaction enterprise value	£434.3m
Transaction fee	£3.9m
Total deal cost	£438.2m

The proposed purchase price represents **0.30x FY26E revenue and 8.43x FY26E EBITDA**. The implied EBITDA multiple is consistent with the selected valuation framework, and the transaction is also supported by the expected operational improvement and synergies described.

2.2 Financing Structure

The acquisition is assumed to be financed through a **50% cash / 50% debt structure**, with no new shares issued. Of the £438.2m total deal cost, £219.1m is funded through B&M's existing cash resources and £219.1m through new acquisition debt.

Financing	Value (£m)
Cash consideration	£219.1m
New acquisition debt	£219.1m
Share consideration	£0.0m
Total financing	£438.2m

The acquisition debt is assumed at an interest rate of **6.67%**, resulting in incremental annual interest expense of approximately **£14.6m** before tax. Financing fees of approximately **£2.2m** are also assumed.

Following completion, B&M's pro forma cash balance is approximately **£122.9m**, while pro forma debt increases to approximately **£1,217.1m**. This results in initial pro forma net debt of approximately **£1,094.2m**, equivalent to **1.58x pro forma EBITDA**.

2.3 Transaction Rationale

The proposed structure balances the use of B&M's existing liquidity with additional debt financing while avoiding equity dilution. Although the transaction increases leverage initially, B&M's forecasted cash generation and the expected contribution from Poundland and identified synergies lead to a reduction in relative leverage over the forecast period.

The transaction provides B&M with access to Poundland's store network and potential operational improvements without requiring an equity-funded acquisition. However, the use of debt increases the importance of achieving the forecast earnings and cash-flow improvements, especially during the initial integration period.

3. Strategic Rationale

The proposed acquisition combines B&M's scale and operating capabilities with Poundland's established UK discount retail footprint. Poundland's recent deterioration in profitability shows potential for operational improvement, while the combination creates opportunities for procurement, distribution, overhead and revenue synergies across the business.

3.1 UK Store Network

The acquisition would expand B&M's presence across the UK discount retail market through Poundland's established store network. The two businesses provide an opportunity to create a broader combined estate while rationalising underperforming locations.

The model assumes that Poundland's opening estate of approximately **650 stores** is reduced by **45 stores** over FY26E–FY28E, leaving approximately **605 stores** by FY29E. Store closures are expected to reduce revenue in the short term, but the associated rent, labour and other operating savings partially offset the lost contribution. This leads to improved estate productivity while reducing exposure to weaker locations.

3.2 Procurement & Distribution

The combination provides an opportunity to increase purchasing scale and improve supply-chain efficiency. A larger combined purchasing base should strengthen supplier negotiations, and the integration of distribution creates scope to reduce duplicated infrastructure and improve logistics efficiency.

Procurement and distribution are the two largest cost-synergy categories in the model, contributing **£28.7m of FY30E EBITDA synergies**. These savings provide a significant component of the transaction's value-creation and are supported by the scale differential between the two businesses.

3.3 Customer & Revenue Opportunity

The bigger store network and combined customer bases lead to an increase in revenue due to cross-selling, higher basket sizes and improved customer reach. Further increase is expected from optimising the combined estate and channels.

The model calculates **£73.8m of gross revenue synergies by FY30E**, comprising cross-selling and basket-size growth, channel and estate optimisation, and customer-base optimisation. After applying the assumed realisation and EBITDA conversion, these opportunities come to **£14.8m of incremental FY30E EBITDA**.

3.4 Operating Model

The strongest rationale for the acquisition is B&M's potential to improve Poundland's operating performance. Poundland's EBITDA margin has declined from **11.6% in FY21A to 1.5% in FY25A**, indicating substantial deterioration in profitability. The forecast assumes a recovery to **6.5% by FY29E**, due to the expected benefits of operational improvements as well as the recovery of the business.

B&M's scale and operating infrastructure help to consolidate duplicated head-office functions and improve technology and marketing efficiency. The model identifies **£46.7m of FY30E cost synergies**, with head-office, technology and marketing efficiencies complementing the larger procurement and distribution opportunities.

3.5 Strategic Assessment

Overall, the strategic case is strongest where B&M's existing capabilities can address Poundland's operational weaknesses. The acquisition is therefore not dependent only on Poundland's standalone growth, rather, the investment is based on B&M's ability to improve Poundland's profitability through scale, operational efficiencies and selective estate optimisation.

However, these benefits are not guaranteed. The limited base-case value creation means that successful execution of the identified synergy programme is critical to the transaction's economics. The acquisition should be done alongside clear integration objectives and discipline on the purchase price.

4. Standalone Valuation

Poundland's standalone equity value is estimated at **£336.4m**, based on an equal weighting of a discounted cash flow analysis and comparable-company valuation. The valuation excludes transaction-specific synergies, reflecting the value of Poundland as a standalone business before acquisition by B&M.

4.1 Discounted Cash Flow Valuation

The DCF valuation forecasts Poundland's operating performance and free cash flow from FY26E through FY30E, including an expected recovery in profitability after the deterioration experienced through FY25A.

A **9.0% WACC** and **2.0% terminal growth rate** are applied to the forecast cash flows. The resulting DCF produces a base-case enterprise value of approximately **£373.0m**. After deducting Poundland's **£47.5m of net debt**, the implied base-case equity value is **£325.6m**.

DCF Equity Value	Value (£m)
Low case	£243.5m
Base case	£325.6m
High case	£473.0m

The range demonstrates sensitivity to the operating and valuation assumptions. The base case assumes a gradual recovery in Poundland's profitability and cash generation over the forecast period rather than an immediate return to historical margins.

4.2 Comparable Company Valuation

The comparable-company analysis benchmarks Poundland against a peer group of **B&M, Pepco, Dollar General and Dollar Tree**. Enterprise value is calculated using both EV/Revenue and EV/EBITDA multiples, with a **70% weighting to EV/EBITDA and 30% to EV/Revenue** to place greater emphasis on operating profitability.

Given Poundland's significantly weaker current profitability relative to the selected peer group, lower-end multiples are applied to reflect the target's current operating position and restructuring requirements. The selected base-case multiples are **0.53x EV/Revenue and 4.5x EV/EBITDA**.

Comparable Company Equity Value	Value (£m)
Low case	£285.4m
Base case	£347.2m
High case	£409.1m

The resulting base-case equity value of **£347.2m** provides a cross-check against the DCF valuation and indicates that the selected standalone valuation is not dependent on a single valuation methodology.

4.3 Selected Standalone Valuation

The DCF and comparable-company approaches are weighted equally to derive the selected standalone valuation.

Standalone Equity Value	Value (£m)
DCF	£325.6m
Comparable companies	£347.2m
Selected value	£336.4m

The combined valuation range is approximately **£264.4m–£441.0m**, with **£336.4m** selected as the base-case standalone equity value.

The proposed **£386.9m equity purchase price** represents a **15.0% premium** to the selected standalone valuation. This premium is justified by the strategic and operational benefits available to B&M as the acquirer, while remaining below the approximately **20% premium at which value creation approaches zero** under the base-case synergy assumptions.

4.4 Valuation Conclusion

The valuation analysis supports a standalone equity value of approximately **£336m** for Poundland. Both the DCF and comparable-company methodologies produce broadly similar base-case values, providing support for the selected valuation. The proposed premium represents payment for control and the opportunity to generate synergies, rather than relying on a discounted standalone valuation to justify the transaction.

5. Synergies & Integration

The investment depends on B&M being able to improve Poundland's operating performance through a combination of revenue and cost synergies. The model identifies **£61.5m of annual EBITDA synergies by FY30E**, with the majority generated through procurement, distribution and head-office efficiencies. These benefits are phased over the forecast period to reflect the time required to integrate the businesses.

5.1 Revenue Synergies

Revenue synergies are expected to reach **£73.8m by FY30E**, driven by three principal areas: cross-selling and increased basket size, channel and estate optimisation, and customer-base optimisation.

Revenue Synergy	FY30E Opportunity
Cross-selling / Basket Size	£32.8m
Channel / Estate Optimisation	£24.6m
Customer Base Optimisation	£16.4m
Total Revenue Synergies	£73.8m

The largest opportunity is cross-selling and basket-size expansion, reflecting the potential to leverage B&M's broader product offering and retail capabilities across Poundland's customer base. Channel and estate

optimisation provides a further opportunity to improve sales productivity across the combined store network, and customer-base optimisation aims to increase customer reach and purchasing frequency.

Synergies are assumed to ramp progressively, with realised gross revenue synergies increasing from **£3.7m in FY26E to £73.8m in FY30E**. After applying the assumed gross-margin conversion, these generate **£14.8m of incremental EBITDA by FY30E**.

5.2 Cost Synergies

Cost synergies represent the larger component of the value-creation case, reaching **£46.7m of annual EBITDA benefit by FY30E**.

Cost Synergy	FY30E Benefit
Procurement	£20.5m
Distribution	£8.2m
Head Office	£11.5m
Technology	£3.3m
Marketing	£3.3m
Total Cost Synergies	£46.7m

Procurement provides the largest saving opportunity through increased purchasing scale and supplier negotiations. Distribution savings come from combining and optimising logistics operations, while head-office savings reflect the potential removal of duplicated corporate functions. Technology and marketing efficiencies provide smaller but recurring benefits.

The model also incorporates **45 store closures between FY26E and FY28E**, reducing the combined estate from 650 to 605 stores. Although closures result in lost revenue, associated rent, labour and other operating savings partially offset this impact. The net EBITDA impact of store rationalisation is **-£6.8m in FY26E, -£5.3m in FY27E and -£3.7m in FY28E**, before becoming neutral after.

5.3 Integration Costs

The realisation of these synergies requires upfront investment. Total integration costs are estimated at **£50.5m**, incurred mostly during the first three years after completion.

	FY26E	FY27E	FY28E	Total
Integration Costs	£23.0m	£16.5m	£11.0m	£50.5m

Costs include redundancies, IT and systems integration, rebranding, store closures, consultancy, inventory write-downs and other implementation expenses. The front-load of these costs reflects the expectation that most of the integration will occur shortly after completion.

5.4 Synergy Realisation

Total EBITDA synergies increase from **£5.4m in FY26E to £61.5m in FY30E** as the integration progresses.

	FY26E	FY27E	FY28E	FY29E	FY30E
EBITDA Synergies	£5.4m	£16.1m	£29.4m	£48.9m	£61.5m
Integration Costs	(£23.0m)	(£16.5m)	(£11.0m)	£0.0m	£0.0m
Net EBITDA Benefit	(£17.6m)	(£0.4m)	£18.4m	£48.9m	£61.5m

The model therefore assumes a **front-loaded investment period followed by increasing recurring benefits**. Net EBITDA impact becomes positive in FY28E, with the full annualised synergy benefit reached in FY30E.

Overall, the synergy case is key to the transaction. The largest benefits are derived from areas where B&M's existing scale and operating capabilities can be applied to Poundland. However, the value creation is dependent on successful execution, particularly procurement integration, store rationalisation and the delivery of planned cost savings.

6. Financial Impact

The acquisition is expected to create a meaningful improvement in B&M's earnings and cash generation over the medium term, despite initial integration costs and incremental financing expenses. While the transaction is modestly dilutive to EPS in the first two years, the combination becomes accretive from FY28E as Poundland's underlying recovery and the synergies begin to outweigh the costs.

6.1 Earnings Impact

The transaction is expected to be **EPS dilutive in FY26E and FY27E**, at **12.3% and 6.4%**, respectively. This shows Poundland's initially weak profitability, integration costs and the incremental interest expense associated with the acquisition debt.

The transaction becomes **EPS accretive in FY28E**, with accretion increasing to **22.2% in FY29E and 31.0% in FY30E**.

	FY26E	FY27E	FY28E	FY29E	FY30E
B&M Standalone EPS	£0.32	£0.29	£0.27	£0.23	£0.20
Pro Forma EPS	£0.28	£0.27	£0.27	£0.28	£0.26
EPS Accretion / (Dilution)	(12.3%)	(6.4%)	3.5%	22.2%	31.0%

The progression demonstrates the importance of the synergy ramp. Poundland's standalone earnings are initially insufficient to offset integration costs and acquisition financing, but the increasing contribution from revenue and cost synergies drives significant earnings accretion in the later forecast years.

6.2 Free Cash Flow

Cash generation is similar. The acquisition produces **£78.0m of incremental FCF in FY30E**, with cumulative incremental FCF reaching **£167.7m over FY26E–FY30E**.

	FY26E	FY27E	FY28E	FY29E	FY30E
B&M Standalone FCF	£514.0m	£472.2m	£448.3m	£410.1m	£373.7m
Pro Forma FCF	£497.2m	£478.3m	£478.0m	£480.7m	£451.6m
Incremental FCF	(£16.8m)	£6.1m	£29.8m	£70.7m	£78.0m
Cumulative Incremental FCF	(£16.8m)	(£10.7m)	£19.1m	£89.8m	£167.7m

The initial FCF impact is negative as integration costs and transaction-related expenses are incurred. However, cumulative incremental FCF becomes positive during FY28E and increases substantially after as the recurring synergy benefits are realised.

6.3 Leverage & Balance Sheet

The transaction is financed through a **50/50 combination of cash and new acquisition debt**, avoiding the issuance of new B&M shares. This results in an initial increase in leverage, but the impact remains manageable given B&M's cash generation.

Pro forma net debt immediately following completion is approximately **£1.09bn**, equivalent to **1.58x pro forma EBITDA**. As EBITDA grows and cash generation strengthens, leverage declines to approximately **1.33x by FY30E**.

	FY26E	FY27E	FY28E	FY29E	FY30E
B&M Standalone ND / EBITDA	1.20x	1.25x	1.28x	1.35x	1.43x
Pro Forma ND / EBITDA	1.31x	1.33x	1.32x	1.30x	1.33x
Change in Leverage	+0.11x	+0.08x	+0.03x	(0.05x)	(0.09x)

The acquisition therefore creates a relatively limited increase in leverage while providing a way to deleverage through improved operating performance and cash generation.

6.4 Overall Financial Assessment

The financial profile is consistent with a transaction requiring **short-term investment for longer-term earnings and cash-flow benefits**. The principal near-term drawbacks are EPS dilution, integration expenditure and additional interest expense. These are offset by the increasing contribution from Poundland's operational recovery and the £61.5m of annual EBITDA synergies targeted by FY30E.

By FY30E, the transaction is expected to deliver **31.0% EPS accretion, £78.0m of incremental FCF and 1.33x net debt/EBITDA**, supporting the conclusion that the acquisition can generate meaningful long-term financial benefits while maintaining a manageable balance-sheet position.

7. Sensitivity Analysis

The transaction's attractiveness is sensitive primarily due to the **purchase price and the level of synergies achieved**. The analysis indicates that the proposed 15% premium remains within the value-creating range, but the limited headroom means that disciplined pricing and effective execution are important to the investment case.

7.1 Purchase Price Sensitivity

The base case assumes a **15% premium**, resulting in an equity purchase price of **£386.9m**. Increasing the premium reduces value creation progressively, while the underlying operating assumptions remain unchanged.

Acquisition Premium	Purchase Price	FY28E EPS Accretion	Value Creation	FY30E ND / EBITDA
0%	£336.4m	4.0%	£68.5m	1.31x
5%	£353.2m	3.8%	£51.5m	1.32x
10%	£370.0m	3.7%	£34.4m	1.32x
15%	£386.9m	3.5%	£17.4m	1.33x
20%	£403.7m	3.3%	£0.3m	1.33x
25%	£420.5m	3.2%	(£16.8m)	1.34x
30%	£437.3m	3.0%	(£33.8m)	1.35x

The analysis suggests that the transaction remains marginally value-creating up to approximately a **20.2% acquisition premium**, corresponding to a maximum value-creating purchase price of approximately **£404.2m**. The proposed 15% premium therefore provides **£17.4m of purchase price headroom** before value creation is diminished.

Importantly, the modest change in EPS accretion across purchase prices demonstrates that **economic value creation is a more useful constraint than EPS accretion alone**. The model's EPS-neutral purchase price is substantially higher, at £756.5m, but paying such a price would not be justified by the underlying economic returns.

7.2 Synergy Sensitivity

The value creation case is also highly dependent on the proportion of identified synergies that can be realised.

Synergy Realisation	FY30E EBITDA Synergies	FY28E EPS Accretion	Value Creation	Cumulative Incremental FCF
50%	£30.8m	(0.6%)	(£41.2m)	£107.2m
75%	£46.1m	1.4%	(£11.9m)	£137.5m
100%	£61.5m	3.5%	£17.4m	£167.7m
125%	£76.9m	5.6%	£46.6m	£198.0m

At **50% synergy realisation**, the transaction becomes materially value-destructive, while 75% realisation still produces a modest negative value creation outcome. The base case requires substantially more than half of the identified synergy opportunity to be captured.

At 100% realisation, the model generates £17.4m of value creation. A 125% outcome would increase value creation to £46.6m, although this represents upside rather than a core assumption.

The analysis reinforces that **synergy delivery is a key execution risk**. The transaction should not be justified on the assumption that all identified benefits will be achieved immediately, the phased realisation incorporated in the base case is important to the investment case.

7.3 Financing Sensitivity

The selected 50/50 cash-and-debt financing structure also provides a balanced outcome between earnings impact and liquidity preservation.

Cash / Debt	FY28E EPS Accretion	Cumulative Incremental FCF	Value Creation
100% Cash	7.6%	£169.9m	£19.4m
75% Cash / 25% Debt	5.6%	£168.8m	£18.4m
50% Cash / 50% Debt	3.5%	£167.7m	£17.4m
25% Cash / 75% Debt	1.4%	£166.6m	£16.3m
100% Debt	(0.6%)	£165.6m	£15.3m

The sensitivity shows that greater use of cash improves near-term EPS accretion by reducing incremental interest expense, while greater debt financing preserves cash but increases the earnings burden. The 50/50 structure represents a balanced approach, retaining liquidity while keeping incremental leverage manageable.

7.4 Sensitivity Conclusion

Overall, the sensitivity analysis supports proceeding at the proposed **15% premium**, but with clear limits on both price and execution assumptions. The transaction has approximately **£17.4m of base-case value creation** and remains value-creating up to approximately a **20% premium** under the base synergy assumptions.

However, the synergy sensitivity demonstrates that weaker-than-expected execution could eliminate the economic benefits of the transaction. **Price discipline and successful integration should remain the principal conditions of the acquisition.**

8. Key Risks

Although the acquisition presents a compelling strategic and financial opportunity, the investment is subject to several risks. The principal risks relate to **synergy execution, Poundland's operating recovery, integration complexity, valuation and financing**.

8.1 Synergy Execution Risk

The transaction's value creation is highly dependent on the successful delivery of the identified synergies. The base case assumes **£61.5m of annual EBITDA synergies by FY30E**, with approximately £46.7m derived from cost savings and £14.8m from revenue synergies.

If only 75% of the identified synergies are achieved, the model produces **£11.9m of negative value creation**, compared with £17.4m in the base case. At 50% realisation, value destruction increases to £41.2m.

The main mitigation is a phased integration plan, with synergies progressively realised rather than assumed immediately. Management should establish clear targets and accountability across procurement, distribution, head office and the store estate.

8.2 Poundland Recovery Risk

Poundland enters the transaction with materially weaker profitability than B&M. EBITDA margin declined from **11.6% in FY21A to 1.5% in FY25A**, meaning that the forecast recovery to **6.5% by FY29E-FY30E** represents a significant improvement.

Failure to achieve this recovery would reduce the earnings and cash-flow contribution of the target and place greater reliance on synergies to justify the acquisition price. Therefore the transaction carries execution risk beyond the integration itself, particularly around restoring Poundland's underlying operating performance.

8.3 Integration Risk

The combination requires significant operational integration, including systems, technology, head-office functions, procurement and the store estate. The model assumes **£50.5m of integration costs** over FY26E–FY28E.

The front-loaded nature of these costs means that delays or cost overruns could further reduce near-term earnings and cash generation. Store closures also create a temporary negative EBITDA impact before the associated savings are fully realised.

8.4 Valuation & Purchase Price Risk

The acquisition is value-creating at the proposed 15% premium, but the margin of safety is relatively limited. The model estimates a maximum value-creating purchase price of **£404.2m**, equivalent to an acquisition premium of approximately **20.2%**.

A purchase price above this level would result in negative value creation under the base operating and synergy assumptions. This creates a clear requirement for **price discipline**, particularly because the standalone valuation already incorporates Poundland's expected operational recovery.

8.5 Financing & Leverage Risk

The proposed 50/50 cash-and-debt financing structure results in pro forma net debt of approximately **£1.09bn** and initial pro forma leverage of **1.58x EBITDA**.

Although leverage remains manageable and is forecast to decline to approximately **1.33x by FY30E**, weaker-than-expected cash generation or profitability could slow deleveraging. Higher financing costs would also reduce the earnings and cash-flow benefits of the acquisition. Maintaining sufficient liquidity following completion is important.

8.6 Overall Risk Assessment

The principal risk is not the strategic rationale of combining the businesses, but **whether the anticipated operational improvements can be delivered at the proposed purchase price**. The sensitivity analysis demonstrates that weaker synergy realisation can eliminate the transaction's economic value.

Nevertheless, the transaction provides several mitigating factors: a moderate 15% acquisition premium, manageable initial leverage, a phased synergy programme and substantial long-term cash-flow generation. These factors support proceeding, provided that B&M maintains purchase-price discipline and establishes clear integration milestones.

9. Final Recommendation

The analysis supports **proceeding with the acquisition of Poundland at a 15% premium**, subject to maintaining purchase-price discipline and successfully executing the integration plan.

The proposed transaction requires an equity purchase price of **£386.9m**, representing a 15% premium to the selected standalone equity valuation of £336.4m. Including Poundland's net debt, the transaction represents an enterprise value of **£434.3m**. The acquisition is financed through a balanced 50/50 combination of cash and new debt, resulting in manageable pro forma leverage of **1.58x EBITDA**.

The strategic rationale is supported by the opportunity to apply B&M's scale and operating capabilities to Poundland's underperforming business. The model identifies **£61.5m of annual EBITDA synergies by FY30E**, primarily through procurement, distribution and head-office efficiencies, alongside revenue opportunities from cross-selling, estate optimisation and customer-base development.

The financial profile also improves over the forecast period. While the transaction is initially EPS dilutive due to integration costs, Poundland's recovery and the realisation of synergies result in the acquisition becoming **EPS accretive in FY28E**, reaching **31.0% accretion by FY30E**. Incremental FCF reaches **£78.0m in FY30E**, with cumulative incremental FCF of **£167.7m** over FY26E-FY30E.

Most importantly, the transaction generates **£17.4m of estimated value creation**, equivalent to approximately **4.5% of the equity purchase price**. The model indicates that value creation remains positive up to a purchase price of approximately **£404.2m**, corresponding to a maximum acquisition premium of **20.2%** under the base-case assumptions.

The principal consideration for B&M should therefore be **execution rather than strategic fit**. The sensitivity analysis demonstrates that weaker synergy realisation could eliminate the transaction's value creation, while paying above the proposed premium would also erode the investment case.

Recommendation: Proceed at a 15% premium, subject to strict price discipline, robust integration planning and clear accountability for the delivery of identified synergies. The proposed transaction offers a credible route to long-term earnings and cash-flow growth while maintaining a manageable balance-sheet position.